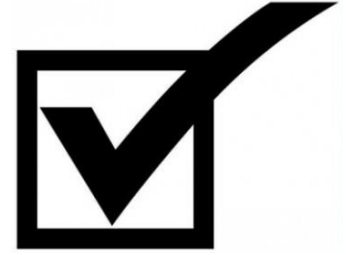




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



Fundamental Accounting

(100)

State 2024

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (18 @ 3 points each) _____ (54 points)

Job 1: Analyzing Transactions _____ (70 points)

Job 2: Financial Analysis (11 @ 4 points each) _____ (44 points)

TOTAL POINTS _____ ***(273 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 60 points total

1.	A	16.	A
2.	D	17.	B
3.	C	18.	B
4.	C	19.	B
5.	A	20.	A
6.	D	21.	C
7.	B	22.	C
8.	C	23.	B
9.	B	24.	D
10.	B	25.	A
11.	C	26.	B
12.	A	27.	A
13.	D	28.	B
14.	D	29.	A
15.	B	30.	A

Account Identification – 1 point each; 45 points total.

Account Name	Classification	Normal Balance	Financial Statement
Merchandise Inventory	A	DR	B
Unearned Rent	L	CR	B
Interest Payable	L	CR	B
Credit Card Fee Expense	E	DR	I
Dividends	SE	DR	SE
Sales Discount	R	DR	I
Purchases	CM	DR	I
Prepaid Rent	A	DR	B
Capital Stock – Preferred	SE	CR	B & SE
Supplies Expense	E	DR	I
Purchases Returns	CM	CR	I
Accumulated Depreciation	A	CR	B
Equipment	A	DR	B
Sales	R	CR	I
Income Summary	SE	N	N

Short Answer – 3 points each; 54 points total.

1. a. 4,027.80

b. 4,110

c. 4,110

2. a. 400,000

b. 26,000

c. 25,975

d. 154,605

e. 554,605

3. a. Cash

b. May 16th

c. 8,638.13

d. Notes Payable

Interest Expense

4. a. 2,100

b. 6,200

c. 4,100

d. Gain

1,025

Job 1 – Analyzing Transactions – 1 point for each correct account, 1 point for each correct amount - 70 points total

DATE	ACCOUNT TITLE	DEBIT	CREDIT
Mar 2	Prepaid Insurance	1,200.00	
	Cash		1,200.00
4	Accounts Receivable	892.25	
	Sales		830.00
	Sales Tax Payable		62.25
5	Rent Expense	600.00	
	Cash		600.00
7	Cash	1,000.00	
	Accounts Receivable	558.75	
	Sales		1,450.00
	Sales Tax Payable		108.75
8	Supplies	650.00	
	Cash		650.00
9	Purchases	3,000.00	
	Accounts Payable		3,000.00
10	Cash	6,697.25	
	Sales		6,230.00
	Sales Tax Payable		467.25
10	Cash	874.40	
	Sales Discount	16.60	
	Sales Tax Payable	1.25	
	Accounts Receivable		892.25
11	Accounts Payable	1,000.00	
	Purchases Returns & Allowances		1,000.00
15	Advertising Expense	700.00	
	Cash		700.00
17	Accounts Payable	2,000.00	
	Cash		1,960.00
	Purchases Discount		40.00
19	Cash	558.75	
	Accounts Receivable		558.75
26	Dividends	20,000.00	
	Dividends Payable		20,000.00
28	Purchases	1,000.00	
	Accounts Payable		1,000.00

Job 2 – Financial Analysis – 4 points each; 44 points total

- a. Accounts Receivable Book Value 10,030
- b. Total Current Assets 150,780
- c. Total Assets 248,180
- d. Working Capital 109,080
- e. Current Ratio 3.6
- f. Total Liabilities 41,700
- g. Ending Retained Earnings 86,480
- h. Total Stockholders' Equity 206,480
- i. Total Liabilities & Stockholders' Equity 248,180
- j. Gross Profit Margin 45.7%
- k. Return on Sales 9.9%